ZOMATO · FOOD DELIVERY

Tier-1 India · Product Management Case Study

Making Zomato the Everyday Habit

Optimising the Discovery → Order → Delivery journey to grow engagement & retention

OKRs CY2026 | Funnel Analysis | Cohort Analysis | Synthesis



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THE STARTING POINT

The Tier-1 reality shapes the strategy

Mature, not greenfield

Tier-1 acquisition is saturated and costly. The win is getting existing users to order more often — not chasing new installs.

Discount fatigue is real

Users are trained to hunt coupons and switch apps for the best deal. A full-price ordering habit — not a discount spike — is the durable moat.

Reliability drives retention

In a habit category, trust compounds. One late or wrong order erodes more loyalty than ten discounts can buy back.

STRATEGIC THESIS | **Growth in Tier-1 = ordering more often, for reasons beyond price.**

HOW I APPROACHED THIS

One journey, four workstreams

THE USER JOURNEY

Discovery → **Order** → **Delivery**

THE DELIVERABLES

01

CY2026 OKRs

Objective, Key Results, initiatives & metric ladders

02

Funnel Analysis

7 stages, drop-off points & conversion hypotheses

03

Cohort Analysis

Retention by user type & improvement hypotheses

04

Synthesis

Why this direction is the right bet for Zomato

PART 1 · OKRS FOR CY2026

The Objective

Make Zomato the default daily food companion for Tier-1 India — shifting users from occasional indulgence to a trusted everyday habit.

KR1

Order frequency

3.4 → **4.6**

orders / active user / month

KR2

New-user M3 retention

27% → **40%**

retained at month 3

KR3

Full-price order share

46% → **60%**

orders without a discount

KR4

On-time delivery

84% → **93%**

+10 pts delivery NSAT

Baseline → CY2026 target. Figures are illustrative assumptions for the exercise.

PART 1 · OKRS

From outcomes to initiatives

KEY RESULT	LEAD INITIATIVE	WHAT IT DOES	SUPPORTING INITIATIVE
KR1 · Order frequency	**Smart Reorder & meal-time personalisation**	Personalised home feed, 1-tap reorder, meal-time push at lunch/dinner windows	Gold membership expansion
KR2 · New-user retention	**First-30-days habit-formation onboarding**	Welcome value spread across 3 orders (not one), guided first order, reliability promise	—
KR3 · Full-price share	**Value beyond discounts**	Quality-verified badges, curated 'everyday value' menus, exclusive restaurants	Transparent all-in pricing
KR4 · On-time delivery	**ETA accuracy & proactive comms**	Better ETA model, smarter rider allocation & batching, live status nudges	—

Each lead initiative is expanded into an input → output → North Star metric ladder on the next two slides.

PART 1 · METRIC LADDERS

Metric ladders — engagement initiatives

KR1 · ORDER FREQUENCY — Smart Reorder & personalisation

INPUT METRICS

- % users served a personalised feed
- Reorder CTA impressions & opt-in to meal-time push
- Recommendation relevance score

↓

OUTPUT METRICS

- Reorder rate
- Sessions per active user / week
- Add-to-cart rate from recommendations

↓

NORTH STAR CONTRIBUTION

Monthly orders per active user

KR2 · NEW-USER RETENTION — First-30-days habit onboarding

INPUT METRICS

- Onboarding completion rate
- % new users in 3-order welcome series
- Time to first successful order

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OUTPUT METRICS

- 2nd order within 7 days
- M1 new-user retention
- First-order on-time delivery %

↓

NORTH STAR CONTRIBUTION

New-user retention at Month 3

PART 1 · METRIC LADDERS

Metric ladders — value & delivery

KR3 · FULL-PRICE SHARE — Value beyond discounts

INPUT METRICS

- # quality-verified restaurants live
- Curated 'value menu' impressions
- % listings with transparent all-in price

↓

OUTPUT METRICS

- Full-price conversion rate
- Discount-free repeat-order rate
- Avg. coupon depth per order (↓)

↓

NORTH STAR CONTRIBUTION

Full-price repeat-order share

KR4 · ON-TIME DELIVERY — ETA accuracy & proactive comms

INPUT METRICS

- ETA prediction error (MAPE)
- Rider allocation time
- Order batching accuracy

↓

OUTPUT METRICS

- On-time delivery %
- Order cancellation rate (↓)
- Delivery NSAT / complaint rate

↓

NORTH STAR CONTRIBUTION

Repeat-order rate after a reliable delivery

PART 1 · THE METRIC THAT TIES IT TOGETHER

The North Star Metric

NORTH STAR

Monthly Habitual Orders

Orders placed each month by users who order 4+ times that month. Captures both breadth (active users) and depth (frequency = habit).

WHY THIS METRIC

- Frequency is the truest signal of habit — and habit is what retention means here.
- A leading indicator of LTV: 4+/month users churn far less and need fewer discounts.
- Hard to fake — a coupon blast lifts one-off orders, not habitual ones.

GUARDRAIL METRICS

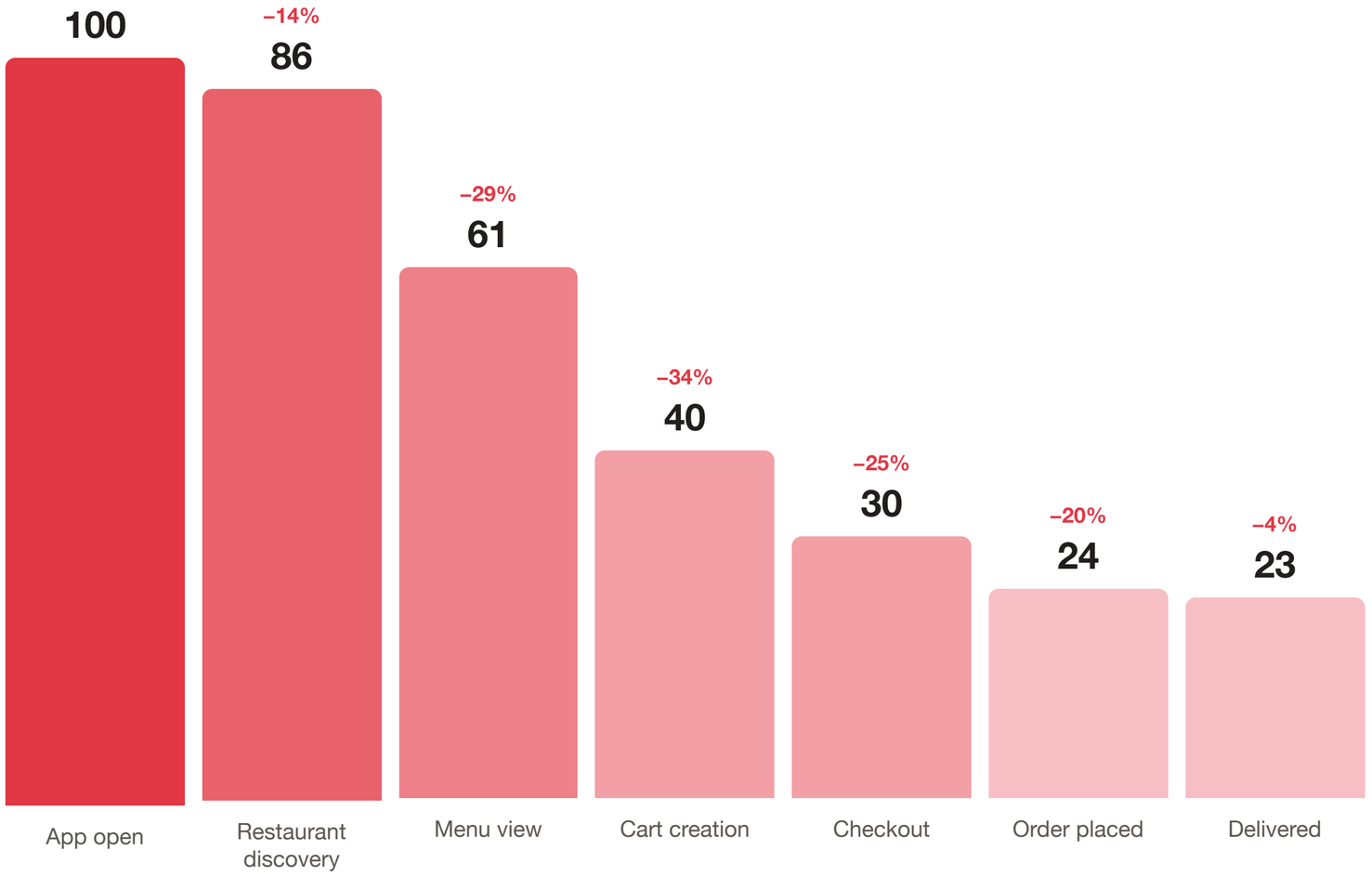
Full-price order share

On-time delivery %

Contribution margin per order

PART 2 · FUNNEL ANALYSIS

Where orders leak in the funnel



23%

open → delivered conversion

BIGGEST LEAKS

Discovery → Menu
choice overload, weak ranking

Menu → Cart
price shock, indecision

Indexed to 100 app opens. Conversion rates are illustrative assumptions for the exercise.

PART 2 · FUNNEL ANALYSIS

Drop-off diagnosis & hypotheses

FUNNEL STEP	LIKELY DROP-OFF CAUSE	IMPROVEMENT HYPOTHESIS
App → Discovery	Open with no clear intent; slow load; price-first impression	Surface meal-time, location-aware picks on home to kill decision paralysis
Discovery → Menu	Choice overload; irrelevant results; long ETAs shown	Rank by ETA + past preference; promote a prominent 'fast delivery' filter
Menu → Cart	High item prices; min-order anxiety; indecision	Lead with popular items & combos; show value menus and transparent prices
Cart → Checkout	Sticker shock as fees/taxes/delivery appear late	Show all-in pricing earlier + 'add ₹X for free delivery' nudge
Checkout → Placed	Payment friction; coupon hunting; address errors	One-tap saved payment, auto-apply best coupon, saved addresses
Placed → Delivered	Cancellations; long or inaccurate ETAs	Accurate ETA model + proactive status updates to cut anxiety-cancels

PART 3 · COHORT ANALYSIS

Cohorts that matter for retention

New users vs Repeat users

Do first-timers convert into a second-order habit, or churn after the welcome offer?

High-frequency vs Low-frequency

What protects power users — and what nudges occasional users toward routine?

Discount-driven vs Full-price

Who stays when the coupons stop? Where is durable, margin-positive loyalty built?

PART 3 · COHORT ANALYSIS

Why each cohort churns — and the fix

COHORT	WHY RETENTION DROPS	HYPOTHESIS TO IMPROVE
New users	One-time welcome offer lured them; first experience didn't form a habit	Spread welcome value across 3 orders + guarantee a flawless first delivery
Repeat users	Discount fatigue and competitor switching erode a fragile routine	Deepen habit via personalisation + Gold perks that reward consistency
High-frequency	High expectations — a single reliability failure can break the routine	Premium reliability (priority allocation) + exclusive perks to protect them
Low-frequency	No trigger to order; weak habit; treats Zomato as occasional	Occasion-based nudges — payday, weekend, meal-time — to lift cadence
Discount-driven	Churn the instant discounts stop; lowest LTV, price-only loyalty	Wean via value framing; bundle into Gold; build non-price reasons to stay
Full-price	Smaller base; service failures cost disproportionately here	Protect the experience + recognition/status perks for high-LTV loyalists

PART 4 · SYNTHESIS

Why this is the right bet for Zomato

Funnel
shows WHERE we lose orders

→

Cohorts
show WHO churns & WHY

→

OKRs
fix both via habit beyond price

→

North Star
tracks the habit forming

01 **The leaks and the churn share one root cause** — Both the biggest funnel drops (discovery, cart) and the weakest cohorts (discount-driven, low-frequency) come down to thin, price-led value. Fix the value, fix both.

02 **Habit is the only durable moat in a mature market** — In Tier-1, acquisition is tapped out and discounts are a race to zero. Frequency + reliability compound into retention that competitors can't simply out-spend.

03 **The OKRs are sequenced to build it** — Onboarding seeds the habit, personalisation deepens it, value-beyond-discounts protects margin, and reliability keeps the trust that holds it all together.

PART 4 · SEQUENCING

Where to invest next

NOW · Q1–Q2

- First-30-days onboarding revamp
- Fix the two biggest funnel leaks (discovery ranking + transparent pricing)
- Ship the ETA-accuracy model

NEXT · Q2–Q3

- Smart Reorder & meal-time personalisation
- Quality-verified badges + curated value menus
- Auto-apply best coupon at checkout

LATER · Q3–Q4

- Gold membership expansion
- Cohort-targeted lifecycle nudges
- Discount-weaning to lift full-price share

NORTH STAR | grow Monthly Habitual Orders — order more often, for reasons beyond price.